STRATEGY OVERVIEW · NQ / MNQ

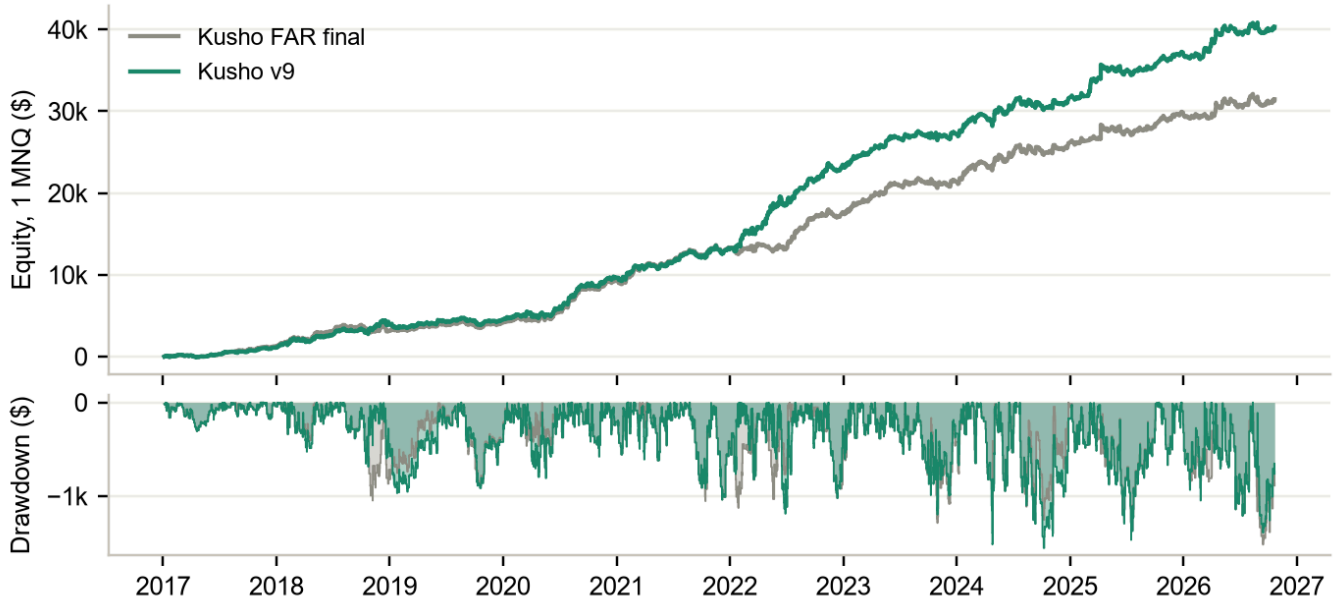
Kusho FAR final, and Kusho v9 (long and short)

E-mini Nasdaq-100 · 15-minute bars · Chicago time · one position at a time · signals 09:00–13:59 CT, exit from 21:00 CT · v9 = Kusho FAR final plus a short side on down-trend days

1 MNQ, whole backtest	Net	PF	Trades / yr	Win rate	Average	Max DD	Closed DD	Grade
Kusho FAR final	$31,448	1.40	321	58.4%	$10.01	$1,520	$1,426	S
Kusho v9	$40,308	1.43	366	58.3%	$11.24	$1,556	$1,554	S

MultiCharts backtests, 2017-01-04 → 2026-10-21: Kusho FAR final 3142 trades, Kusho v9 3586 trades; 15-minute chart with the 1-minute Bar Magnifier; $2.50 commission per contract and $5 slippage per trade; 1 MNQ (×10 = 1 NQ). Max DD counts closed equity plus each trade's worst open loss. **Roll correction:** on the raw continuous chart, 4 long trades in each run were open across a contract roll and booked the price gap between contracts ($1,592.50 per MNQ in total); every figure here has that gap removed.

Equity path and drawdown



The trade story

The idea comes from auction reading: a bullish 15-minute bar that closes above its 50-bar average with only a small lower wick shows buyers in control. The strategy leaves a buy limit at that bar's open for one bar — the retest — and, if filled, rides it with a structure stop under the latest swing low, a 3R target and an early break-even. Trades still open run into the evening and are closed from 21:00 CT; a position open on Friday is held over the weekend. **v9** adds the mirror-image short, taken only on down-trend days.

Rules

Long signal	15-minute bar stamped 09:00–13:59 CT: close > open, close > EMA(50) of closes, lower wick (open − low) ≤ 70 ticks.
Entry	Buy limit at the signal bar's open, valid for the next bar only. One position at a time.
Exits	Stop at the most recent fractal swing low of bars 2–10 back if that risk is ≤ 500 ticks, target 3R, and the stop moves to entry + 5 ticks once price has moved 0.5R in favour. Otherwise a 200-tick stop and a 200-tick target. Market exit from the first bar at or after 21:00 CT.
v9 only: short	**The mirror (close < open, close < EMA(50), upper wick ≤ 70 ticks, sell limit at the open, swing-high stop, 3R, break-even at entry − 5 ticks) on down-trend days only: the prior session's 15:00 close is below the average of the last 50 15:00 closes and that average is below its value 5 sessions earlier.**

Worst drawdowns (including open-trade loss)

Kusho FAR final

Depth, 1 MNQ	Peak	Low	Recovered	Days
$1,519.75	2026-08-12	2026-09-14	not yet	70+
$1,458.25	2025-04-09	2025-07-16	2025-10-01	175
$1,288.25	2023-08-29	2023-10-31	2024-01-21	144

Kusho v9

Depth, 1 MNQ	Peak	Low	Recovered	Days
$1,555.75	2024-07-22	2024-10-08	2025-01-05	167
$1,517.75	2024-03-18	2024-04-25	2024-05-02	45
$1,469.75	2025-04-09	2025-07-16	2025-10-01	175

Now: Kusho FAR final −$670.50 and Kusho v9 −$544.50 from their peaks.

By year, 1 MNQ

Year	Final trades	Final net	v9 trades	v9 net
2017	367	$1,209.50	367	$1,070.00
2018	323	$1,960.50	404	$2,916.00
2019	354	$947.00	376	$491.50
2020	322	$5,208.50	340	$5,225.00
2021	315	$3,820.00	326	$3,385.50
2022	267	$4,435.50	429	$10,259.50
2023	339	$3,839.50	375	$3,904.00
2024	336	$4,770.50	366	$4,438.50
2025	292	$3,423.00	333	$5,257.00
2026	227	$1,834.00	270	$3,361.00

2026 to the end of each backtest. Positive years: Kusho FAR final 10 of 10, Kusho v9 10 of 10. v9's shorts: 470 trades, $8,514.

Why it should work

Origin: "Finished Auction Retest" by Kusho (version 0.9), an auction-market read of a finished auction at the bar's low, coded as an OHLC proxy. There is no published effect size for this rule.

- **Signal vs random entries** (2017–2026, 1-minute Bar Magnifier): Kusho beat random longs at the same clock hours in 9 of 10 years, 2023–26 included, by about $7.80 a trade per MNQ. In 2022 the random longs lost $7.80 a trade while Kusho made $17.90.
- **Validation 2023-01-04 → 2026-08-26** (one pre-registered run after the design freeze): average trade rose from $10.54 in development to $13.23, all four years positive, bootstrap 95% interval for the average trade $6.20–$21.80.
- **v9**: the shorts pay in falling years (2018, 2022, 2025, 2026 in the full run); its 2023+ run beat Kusho FAR final on the same window ($17,908 vs $15,168.50) and passed the three checks set before that run.

Risks and caveats

- **Tail-dependent:** the best 10% of trades make 232% of Kusho FAR final's net; the other 90% lose money together.
- **Overnight and weekend holds:** 141 trades were held over a weekend. The hold is part of the design and adds gap risk.
- **Fitted settings:** the 70-tick wick limit and the 0.5R break-even were chosen by optimisation on 2018–2022.
- **Validation verdict:** against the original code's figures on the same window the redesign failed 2 of its 4 pre-set checks (it earned less per trade and in total) and won on risk (return ÷ drawdown 7.36 vs 6.92, account needed $1,252 vs $3,092.50 per MNQ). The 2023+ window had also been seen by the original author and by replication runs.
- **v9's 2023+ run** was the second look at that window for this family.
- **v9's down-trend filter** removes roll gaps using the Sunday-reopen roll; on dxFeed the roll moved to other times from mid-2024, so the 50-session average is off for some weeks after each roll since then.

Robustness grade

Split at 2023-01-01, 1 MNQ	Kusho FAR final S	Kusho v9 S
Trades in / out of sample	1948 / 1189	2242 / 1339
Expected value per trade, in → out	$9.10 → $12.69	$10.48 → $13.55
Kept out of sample · P(edge ≤ 0)	139% · 0.0005	129% · 0.0000
Out-of-sample net / max DD (closed)	$15,086 / $1,426	$18,150 / $1,554
Return ÷ drawdown, out of sample	10.58	11.68
Monte-Carlo max DD, median / 75th / 95th / 99th	$2,007 / $2,392 / $3,184 / $3,864	$2,056 / $2,431 / $3,198 / $3,887

Graded 2026-10-17 on exports to 2026-10-15 (before the roll correction above). Expected value from a 10,000-draw bootstrap; drawdowns from a 20,000-path Monte Carlo of the trade sequence (closed equity). Grade scale S–D combines edge kept out of sample, confidence it is above zero, and return ÷ drawdown.

Development and validation runs, 1 MNQ

	Final · development	Final · validation	v9 · development	v9 · 2023+
Window	2018-01-02 → 2022-12-30	2023-01-04 → 2026-08-26	2017 → 2022	2023-01-04 → 2026-09-01
Trades	1,583	1,150	2,242	—
Net	$16,677.50	$15,215.50	$23,571	$17,908
Profit factor	1.46	1.39	1.48	—
Average trade	$10.54	$13.23	$10.51	—
Max drawdown	$1,281.50	$2,068.50	$1,098.50 (closed)	$1,802

Earlier MultiCharts runs at the same costs, before the roll correction; not every run records its Bar Magnifier setting, so they differ slightly from the figures above. "—" = not recorded for that run. The 70-tick wick limit and the 0.5R break-even were frozen before the validation run.

Tried and rejected — do not repeat

When	Tried	Result (1 MNQ)	Verdict
2026-08-21	The original code as received	Its wick filter never worked (always true); a missing Friday exit held weekend positions and made 45% of its profit	Redesigned
2026-08-26	Strict "no wick" bars, 30- and 15-minute signals with a 1-minute retest	15-minute: 372 trades, $2.51 a trade	Rejected
2026-08-26	1-minute execution of the same rule	2023–26: $13,792.50, PF 1.28; without its best trades it lost money	Rejected
2026-08-26	Break-even at 1.5R instead of 0.5R	0.5R cut the drawdown 36% for 2.8% less net	0.5R kept
2026-09-24	Flat at 15:45 CT every day (no overnight or weekend holds)	2018–2026: $27,203 vs $32,562 carrying (84% kept), PF 1.36 vs 1.43	Kept as a separate prop version
2026-10-04	ATR-sized fallback stop and target	2017–2022: $17,813.50 vs $17,804.50, worse in 5 of 6 years	Rejected
2026-10-04	ATR-sized fallback target only	$17,561	Rejected
2026-10-04	Everything in ATR units, no break-even	$14,847, PF 1.23, drawdown $3,343	Rejected
2026-10-04	Everything in ATR units, ATR break-even	$13,427, PF 1.28, drawdown $2,225	Rejected
2026-10-04	Second wick test: lower wick ≤ 0.5 × ATR (long only)	2017–2022: $15,610.50 vs $17,804.50	Not adopted
2026-10-04	v9 with that ATR wick test on both sides	2017–2022: $19,816 vs $23,571 without it	Removed from v9

Development runs on 2017/2018–2022 unless noted.

Kill test — what would prove it wrong

Watch	Kusho FAR final	Kusho v9	Warning sign
Drawdown	Worst $1,520; Monte-Carlo 75th $2,392	Worst $1,556; Monte-Carlo 75th $2,431	Beyond the 75th percentile.
Win rate vs the win rate it needs to make money	58.4% vs 50.5% needed	58.3% vs 49.7% needed	Win rate sliding toward the needed level.
Average trade, last 60 trades	Below $3.50 per MNQ (the 2019 pattern)		Stop trading it.
Big winners	40 trades in a row without a $150 winner per MNQ		The tail has dried up: halve or stop.
Trade count	≈ 321 a year	≈ 366 a year	Materially different: setup drift.
Weekend gap	A weekend gap loss larger than 1.5 × the structural stop		Stop holding over weekends.

Kusho FAR final: long 3142 $31,448, largest win $1,735.00, largest loss −$383.50, positive months 84/118. Kusho v9: long 3116 $31,794, short 470 $8,514, largest loss −$383.50, positive months 87/118. Source: MultiCharts backtests; rules from the strategy code. Backtests, not account results. Prepared 2026-10-23.